

**THE CONSTITUTION (TENTH
AMENDMENT) BILL, 1956**

(AS INTRODUCED IN LOK SABHA)

—

THE CONSTITUTION (TENTH AMENDMENT) BILL, 1956

(AS INTRODUCED IN LOK SABHA)

A

BILL

further to amend the Constitution of India.

BE it enacted by Parliament in the Seventh Year of the Republic of India as follows:—

1. This Act may be called the Constitution (Tenth Amendment) Act, 1956. Short title.

5 2. In the Seventh Schedule to the Constitution,—

Amendment
of the
Seventh
Schedule.

(a) in the Union List, after entry 92, the following entry shall be inserted, namely:—

10 “92A. Taxes on the sale or purchase of goods other than newspapers, where such sale or purchase takes place in the course of inter-State trade or commerce.”; and

(b) in the State List, for entry 54, the following entry shall be substituted, namely:—

“54 Taxes on the sale or purchase of goods other than newspapers, subject to the provisions of entry 92A of List I.”.

15 3. In article 269 of the Constitution,—

Amendment
of article
269.

(a) in clause (1), after sub-clause (f), the following sub-clause shall be inserted, namely:—

20 “(g) taxes on the sale or purchase of goods other than newspapers, where such sale or purchase takes place in the course of inter-State trade or commerce.”; and

(b) after clause (2), the following clause shall be inserted, namely:—

“(3) Parliament may by law formulate principles for determining when a sale or purchase of goods takes place in the course of inter-State trade or commerce.”. 5

Amendment
of article
286.

4. In article 286 of the Constitution,—

(a) in clause (1), the *Explanation* shall be omitted; and

(b) for clauses (2) and (3), the following clauses shall be substituted, namely:—

“(2) Parliament may by law formulate principles for 10
determining when a sale or purchase of goods takes place in
any of the ways mentioned in clause. (1).

(3) Any law of a State shall, in so far as it imposes, or
authorises the imposition of, a tax on the sale or purchase
of goods declared by Parliament by law to be of special 15
importance in inter-State trade or commerce, be subject to
such restrictions and conditions in regard to the system of
levy, rates and other incidents of the tax as Parliament may
by law specify.”.

STATEMENT OF OBJECTS AND REASONS

While "taxes on the sale or purchase of goods other than newspapers" is an entry in the State List, article 286 of the Constitution subjects the States' power to impose such taxes to four restrictions, of which two are total and two are partial. Under clause (1) of the article, a State is debarred from imposing such a tax when the sale or purchase takes place outside the State or in the course of import into, or export from, the country. With regard to the first restriction, namely, the non-taxability of sales outside the State, an explanation is given in the clause that "a sale or purchase shall be deemed to have taken place in the State in which goods have actually been delivered as a direct result of such sale or purchase for the purpose of consumption in that State". Then, under clause (2), a State is debarred from imposing the tax on inter-State sales except in so far as Parliament may otherwise provide. Lastly, under clause (3), Parliament is authorised to declare the goods which are essential to the life of the community, and when such a declaration has been made, any law made by a State Legislature imposing a tax on the sale or purchase of those goods has to receive the President's assent in order to be effective.

High judicial authorities have found the interpretation of the article a difficult task and expressed divergent views as to the scope and effect, in particular, of the explanation in clause (1) and of clause (2). The majority view of the Supreme Court in *the State of Bombay v. the United Motors (India) Ltd.*, (1953) S.C.R. 1069, was that sub-clause (a) and the explanation in clause (1) prohibited the taxation of a sale involving inter-State elements by all States except the State in which the goods are delivered for the purpose of consumption therein, and furthermore, that clause (2) did not affect the power of that State to tax the inter-State sale even though Parliament had not made a law removing the ban imposed by that clause. This resulted in dealers resident in one State being subjected to the sales tax jurisdiction and procedure of several other States with which they had dealings in the normal course of their business. Two-and-a-half years later, the second part of this decision was reversed by the Supreme Court in *the Bengal Immunity Company Ltd. v. the State of Bihar*. (1955) S.C.A. 1140 but here too the Court was not unanimous.

In pursuance of clause (3) of the article, Parliament passed an Act in 1952 declaring a number of goods like foodstuffs of various kinds, cloth, raw cotton, cattle feeds, iron and steel, coal, etc. to be essential to the life of the community. Since this declaration could not affect pre-existing State laws imposing sales tax on these goods,

the result was a wide disparity from State to States, not only in the range of exempted goods, but also in the rates applicable to them.

The Taxation Enquiry Commission, after examining the problem with great care and thoroughness, have made certain recommendations which may be summarised as follows. In essence, sales tax must continue to be a State source of revenue and its levy and administration must substantially pertain to the State Governments. The sphere of power and responsibility of the State may, however, be said to end, and that of the Union to begin, when the sales tax of one State impinges, administratively on the dealers, and fiscally on the consumers, of another State. Broadly, therefore, inter-State sales should be the concern of the Union, but the responsibilities pertaining to the Union could be exercised through the State Governments, and in any case, the revenue should appropriately devolve on them. Intra-State sales, on the other hand, should be left to the States, but with one important exception. Where, for instance, raw material produced in a State is important from the point of view of the consumer or the industry of another State, certain restrictions have to be placed on the taxing power of the State Government, as otherwise it can effect an increase in the cost of the manufactured article, whether such manufacture takes place in the State which produces the raw material, or in another State which imports the material from that State. In either case, to the extent that the finished goods are consumed in a State other than the one which taxes the raw material, the increase in cost on account of the tax is a matter of direct concern to the consumer of another State. Such cases of intra-State sales should appropriately be brought under the full control of the Union. These recommendations of the Commission have been generally accepted by all the State Governments.

The object of this Bill is to give effect to the recommendations of the Commission as regards the amendment of the constitutional provisions relating to sales tax.

In clause 2, it is proposed to add a new entry 92A in the Union List placing taxes on inter-State sales and purchases within the exclusive legislative and executive power of the Union, and to make entry 54 of the State List "subject to the provisions" of this new entry.

In clause 3, it is proposed to add these taxes to the list given in clause (1) of article 269, so that, although they will be levied and collected in accordance with an Act of Parliament, they will not form part of the Consolidated Fund of India, but will accrue to the States themselves in accordance with such principles of distribution as may be formulated by Parliament by law. A further provision is

proposed in article 269 expressly empowering Parliament to formulate by law principles for determining when a sale or purchase of goods takes place in the course of inter-State trade or commerce.

It is proposed in clause 4 to omit from clause (1) of article 286 the explanation which has given rise to a great deal of legal controversy and practical difficulty. In view of the centralisation of inter-State sales tax proposed in clause 2 of this Bill, clause (2) of article 286 in its present form will cease to be appropriate. In its place it is proposed to insert a provision empowering Parliament to formulate principles for determining when a sale or purchase of goods takes place (a) outside a State, or (b) in the course of import of the goods into the territory of India or (c) in the course of export of the goods out of the territory of India.

It is further proposed to replace clause (3) of article 286 by a new clause on the lines recommended by the Taxation Enquiry Commission. Under this revised clause Parliament will have the power to declare by law the goods which are of special importance in inter-State trade or commerce and also to specify the restrictions and conditions to which any State law (whether made before or after the Parliamentary law) will be subject in regard to the system of levy, rates and other incidents of the tax on the sale or purchase of those goods.

MANILAL SHAH.

NEW DELHI;

The 30th April, 1956.

ANNEXURE

EXTRACTS FROM THE CONSTITUTION OF INDIA

* * * * *

PART XII

FINANCE, PROPERTY, CONTRACTS AND SUITS

CHAPTER I.—FINANCE

* * * * *

Distribution of Revenues between the Union and the States

* * * * *

Taxes levied
and collected
by the
Union but
assigned to
the States.

269. (1) The following duties and taxes shall be levied and collected by the Government of India but shall be assigned to the States in the manner provided in clause (2), namely:—

- (a) duties in respect of succession to property other than agricultural land;
- (b) estate duty in respect of property other than agricultural land;
- (c) terminal taxes on goods or passengers carried by railway, sea or air;
- (d) taxes on railway fares and freights;
- (e) taxes other than stamp duties on transactions in stock-exchanges and futures markets;
- (f) taxes on the sale or purchase of newspapers and on advertisements published therein.

(2) The net proceeds in any financial year of any such duty or tax, except in so far as those proceeds represent proceeds attributable to States specified in Part C of the First Schedule, shall not form part of the Consolidated Fund of India, but shall be assigned to the States within which that duty or tax is leviable in that year, and shall be distributed among those States in accordance with such principles of distribution as may be formulated by Parliament by law.

* * * * *

Miscellaneous Financial Provisions

* * * * *

Restrictions
as to imposi-
tion of tax
on the sale
or purchase
of goods.

286. (1) No law of a State shall impose, or authorise the imposition of, a tax on the sale or purchase of goods where such sale or purchase takes place—

- (a) outside the State; or
- (b) in the course of the import of the goods into, or export of the goods out of, the territory of India.

Explanation.—For the purposes of sub-clause (a), a sale or purchase shall be deemed to have taken place in the State in which the goods have actually been delivered as a direct result of such sale or purchase for the purpose of consumption in that state notwithstanding the fact that under the general law relating to sale of goods the property in the goods has by reason of such sale or purchase passed in another State.

(2) Except in so far as Parliament may by law otherwise provide, no law of a State shall impose, or authorise the imposition of, a tax on the sale or purchase of any goods where such sale or purchase takes place in the course of inter-State trade or commerce:

Provided that the President may by order direct that any tax on the sale or purchase of goods which was being lawfully levied by the Government of any State immediately before the commencement of this Constitution shall, notwithstanding that the imposition of such tax is contrary to the provisions of this clause, continue to be levied until the thirty-first day of March, 1951.

(3) No law made by the Legislature of a State imposing, or authorising the imposition of, a tax on the sale or purchase of any such goods as have been declared by Parliament by law to be essential for the life of the community shall have effect unless it has been reserved for the consideration of the President and has received his assent.

*

*

*

*

*

SEVENTH SCHEDULE

[Article 246]

* * * *

List II—State List

54. Taxes on the sale or purchase of goods other than newspapers.

* * * *

Tax
and
by
Uni
assi;
the .Re
as
sit
on
or
of
.

LOK SABHA

A

BILL

further to amend the Constitution of India.

Tax
and
by
Uni
assi
the

(*Shri M. C. Shah,*
Minister of Revenue and
Civil Expenditure.)

Re
as
sit
on
or
of
.

GIPD—LAD—257 L S—1—5—56—1,750